(FERA) to Foreign Exchange Management Act (FEMA) in 1999. Violations of capital controls were supposed to have become a civil offence with FEMA, in contrast with the draconian FERA. However, in recent years, criminal sanctions have crept back into FEMA.

Criminal sanctions have the harshest effect in terms of reducing the freedom of individuals. Under conditions of low state capacity, criminal penalties put supreme power in the hands of enforcement agencies. Harsh punishments go with wrongful raids, arrests, prosecutions and even convictions. They set the stage for abuse of power, corruption, and a collapse in state capacity.

Forcing companies to spend 2 per cent of their profit on ‘corporate social responsibility’ is a use of the coercive power of the state that is not connected with market failure. Companies are rational economic actors, and if there is a problem with non-compliance, monetary penalties would suffice. When the law threatens to put individuals in jail for violating the rule, this is an excessive use of force. [4]

Summing up

We should solve the disease and not the symptoms. We should solve dengue epidemics by controlling mosquitoes and not by building hospitals; we should solve respiratory ailments by improving air quality and not by building hospitals; we should solve accident related health problems by improving road safety and not by building hospitals. This calls for an analysis of the root cause of market failure.

In the class of solutions that are available for addressing a given market failure, we should favour the one which intrudes upon the lives of private persons as little as possible.

These two ideas are related. The lowest cost interventions are often found by understanding the market failure and addressing it at the root cause.

Intruding into the home of a person, interfering in personal life, incarcerating a person, these are the most intrusive things that the state can